2005 Maintenance Increase — Board Memo dated February 28, 2005

Effective April 1, 2005 · Rate: $14.00 → $15.85 per share · Increase: +$1.85/share/year · +$157,000 annually · 13.5%

The co-op is at a break-even point here with revenue and expenses. This increase was the minimum necessary to bring the budget into balance.

Board of Directors vote — All in favor: Glenn Keegan, Les Lew, Karen Gongora, Janet Henry, Peter Merson, Laura Szego

---

Context: Unlike the 2006 increase which followed immediately after this one, the 2005 increase was a straightforward response to a genuine break-even budget situation. The board voted unanimously. The memo's cited cost increases — real estate taxes (+$38,000), fuel (+$12,000), electricity (+$8,000), and insurance (+$7,000) totalling $65,000 — are consistent with the audited annual financial statements for 2004–2005. This increase stands in contrast to the 2006 increase that followed, where cited cost drivers were flat or falling according to the same audited records.

Original board memo follows on the next page.

RIVEREDGE OWNERS, INC.
1 David Lane
Yonkers, New York 10701

February 28, 2005

Dear Fellow Shareholders:

The Riveredge Owners Board of Directors approved the 2005 budget for the Building at its February meeting. Due to substantial increases in operating expenses, the funds necessary to operate and maintain the Building are anticipated to be 13.5% higher during 2005. After much discussion and thoughtful consideration, the Board voted to increase maintenance fees in order to balance the budget. Effective as of April 1, 2005, the maintenance will be increased by 13.5%, from $14.00 per share to $15.85 per share.

We recognize that this is a significant increase. However, it is necessary to cover our escalating operating expenses. In the past year we had the following major increases:

Real estate taxes	$38,000	
Fuel	12,000	
Electricity	8,000	
Insurance	7,000	
Total	$65,000	a 41% increase in costs over 2004

Although the Board of Directors has worked diligently to contain the cost of operating the Building, these costs increases are not under our control and for the most part could not be anticipated. Indeed, further increases in the cost of fuel oil and anticipated increases in real estate taxes remain a major concern of the Board. Ensuring that the cooperative remains fiscally sound is an obligation that the Board takes seriously. This increase in the maintenance is the minimum amount necessary to bring the budget into balance.

Thank you.

The Riveredge Board of Directors